

Reviewer

Economics Education

With Taxation, Agrarian Reform, Cooperatives

GOAL

Revisit basic Economic concepts, principles & theories

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For Classroom Use Only

TWO-PART SESSION

1. Overview of vital micro, macro concepts & principles
2. Analysis of sample test questions in the Reviewer

What is Economics?

Definition 1:

Unlimited Wants  Scarce resources

Definition 2:**SOCIAL SCIENCE**

that studies the
Production, Distribution, Consumption
of goods and services

Etymology, Birth of Economics?

Oikos *Nomos*
Household *Management*

Father of Economics *Adam Smith*

“Mother of Economics” *Scarcity*

Scarcity: problem arising from conflict between
unlimited human wants & limited
resources

Why Study Economics?

Allows us to become rational consumers, producers

To achieve maximum net benefit as we deal
with the issue of scarcity

Marginal analysis: All economic agents make a choice

Additional benefit VS additional cost of a choice

$MB > MC$, adopt choice

$MB < MC$, ditch choice

Maximum possible benefit, least possible opportunity cost

"No such thing as free lunch!"

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Why Study Economics?

Allows us to understand society, global affairs.

Better-informed, empowered consumers,
producers, and citizens.

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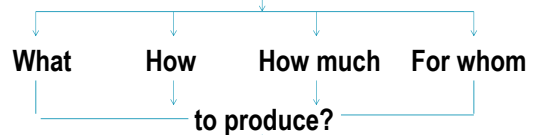
Branches of Economics

<u>Macroeconomics</u>			<u>Microeconomics</u>	
<i>Aggregate eco units</i>			<i>Individual eco units</i>	
<i>ie, general economy</i>				
Y	L	P _L	Consumers	Producers
Growth	Low UR	Low, stable IR	Max. Utility	Max. Profit

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Scarcity

Four Basic Economic Questions

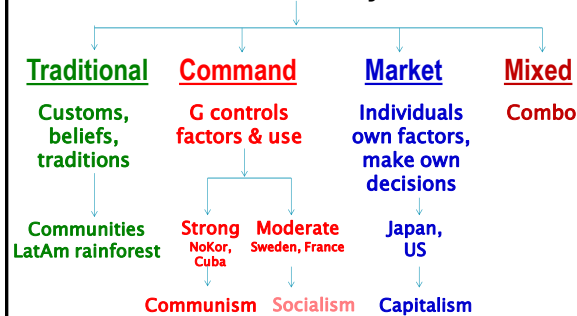


Four Economic Systems



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Four Economic Systems



Demand & Supply Analysis

Important building block for study of Eco

Provides good foundation in understanding all other aspects of Economics

Demand Analysis

Demand: Qty of a good or service that people are willing and able to buy at every possible price at a given period.

Qty Demand: Demand at a given, specific price.

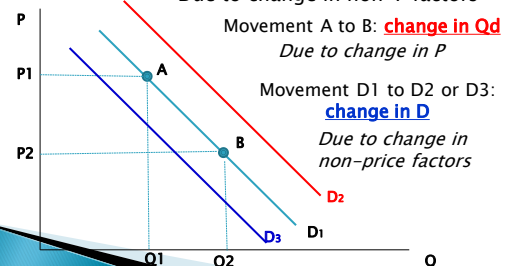
D Schedule: Demand in table form

D Curve: In graphical form, **downward sloping** due to:
 - relation bet. P & Qd LDMU
 Income effect Substitution effect

Demand Analysis

Change in Qd: In graph, movement along same D curve
 Due ONLY to a change in P

Change in D: In graph, entire D curve shifts left or right
 Due to change in non-P factors



Demand Analysis

Law of Demand: $D \downarrow P \uparrow$, *ceteris paribus*

Demand = $D(P, Y, T/P, P \text{ related goods}, C \text{ expec., Pop})$
 - + + +
 + / - +

Exceptions to Law of D

Prestige goods: Diamonds, sports cars

Giffen goods: Irish Potato famine

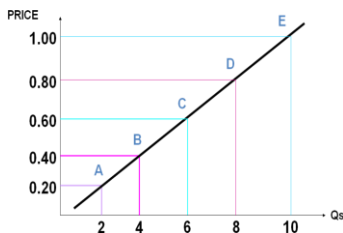
Supply Analysis

Supply Qty of a good or service that firms are willing to sell at every possible price.

S Schedule: Supply, in table form

S Curve: In graphical form, **upward sloping** due to:
 + relation between Q_s & P
 Law of Diminishing Marginal Returns

Supply Analysis



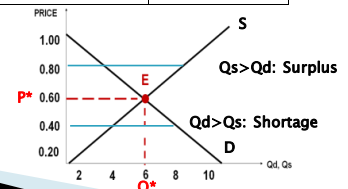
Law of Supply: $S \uparrow P \uparrow$, *ceteris paribus*

Supply = $S(P, \text{cost}, P \text{ expec., technology}, \# \text{ firms, Seasonality})$
 + - + / - +
 + + - +

D & S Analysis: **Equilibrium**

A state where $Q_s = Q_d$

Price of Choc-nut	Quantity Demanded	Quantity Supplied
0	12	0
0.20	10	2
0.40	8	4
0.60	6	6
0.80	4	8
1.00	2	10



D & S Analysis: Elasticity

Elasticity: Responsiveness of D & S to certain changes (eg, price).

P Elasticity of D = $\frac{\% \text{ change in } Q_d}{\% \text{ change in } P}$

If $PEoD > 1$ D elastic Item highly sensitive to P changes

If $PEoD = 1$ D unit elastic Item moves in proportion to P changes

If $PEoD < 1$ D inelastic Item less sensitive to P changes

Elasticity: Who wins, Who loses?

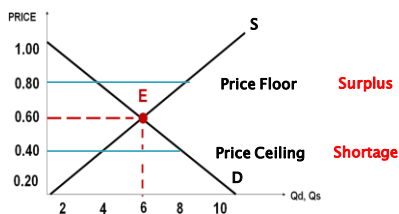
	Demand Elastic	
	Buyer	Seller
P Inc		
P Dec		
	Demand Inelastic	
	Buyer	Seller
P Inc		
P Dec		

Luxury goods
Those w/ substi.
> Share in Y
Time frame: LR

Necessities
W/o substi.
< Share in Y
Short run

Price Control

To promote equity
To respond to emergencies



Market Structures

Type	# Sellers	Product	Power of Firm over Price	Barriers to Entry	Non-Price Competition	Examples
Perfect Competition	Many	Standardized, homogenous	None	Low	None	Agri
Monopolistic Competition	Many	Differentiated	Some	Low	Ads, product differentia.	Retail trade
Oligopoly	Few	Standardized or differentia.	Some	High	Ads, product differentia.	PCs, oil, steel, banks
Monopoly	One	Unique	Considerable	Very high	Ads	Utilities

Macroeconomics

Key variable 1: National Output

GDP

GNP

GNI

Gawa Dito sa Pinas Gawa ng Pinoy



Expenditure approach: $C + I + G + (X-M)$
69% 22% 11%

Industrial origin: Agri + Industry + Services
10% 33% 57%

Macroeconomics

Key variable 2: Inflation

Types of Inflation

Demand-pull Inflation – due to excess aggregate demand

Cost push inflation – due to a significant and continued increase in cost of production (labor, raw materials, profit)

Effects of Inflation

Decrease in the value of money (Purchasing Power of the Peso)

Who Loses?

Fixed salary workers
Retirees living on pension
Creditors
Savers

Who Gains?

Debtors
Flexible income workers

Macroeconomic Concerns

Recession: a period during which aggregate output declines for two consecutive quarters

Depression: a prolonged and deep recession

Inflation is a sustained and general increase in prices in all or nearly all the markets in the economy

Creeping Inflation: 3% or less a yr

Walking Inflation: 3–10% a yr

Galloping Inflation: > 10% a yr

Hyperinflation: 50% or > a yr

Deflation: a sustained and general decrease in prices in all or nearly all the markets in the economy

Money gains in value, people stop spending, I drops, Y drop, UR up
Worse of the two evils Vicious Cycle, very hard to reverse

Macroeconomics: Govt Tools

Fiscal Policy

Spending

Revenues

Monetary Policy

Money supply mgt

Reserve Req't

Open market Operations

Rediscounting

Taxation

Inherent power of the state to impose and collect revenues to defray the necessary expenses of the government.

Purpose of Taxation

1. To collect revenue for the government
2. To redistribute income
3. To combat inflation
4. To correct an adverse balance of payments
5. To check the consumptions of goods which are considered undesirable
6. To protect local and infant industries

Taxation

•Objects of Taxation: Persons, Property of any kind, Transactions, interest and privileges

•Classification of Tax System: “Ability to Pay”

Progressive Tax
Proportional Tax (aka, Flat rate)
Regressive Tax

• Types:

- A. Direct taxes – income, residence, real state, immigration, estate, inheritance
- B. Indirect taxes – sales, import, VAT/EVAT

Taxation

Direct Taxes

The burden cannot be shifted to the third party.
Direct taxes are based on income and wealth.
In most cases, direct taxes are progressive in nature.
Direct taxes are compulsory in nature.

Indirect Taxes

The tax burden can be shifted to the third party.
Indirect taxes are based on expenditure and consumption.
All indirect taxes are regressive in nature.
Indirect taxes are optional in the sense that they can be avoided.

Agrarian, Land Reform

Land Reform or land redistribution is an aspect of agrarian reform. To make land redistribution successful, other components of agrarian policies are needed, to such as those that increase the development potential of the land.

Agrarian Reform therefore covers some or all of the following elements: distribution of land to the cultivator, security of tenure and fair system of rental payments and improved methods of cultivation through the improvement of rural institutions serving the farmer, such as adequate credit, cooperative marketing, and agricultural investments such as irrigation and drainage.

Agrarian, Land Reform

Republic Act No. 6657 – The Comprehensive Agrarian Reform Law of 1988, signed into law by Pres. Corazon Aquino

PRINCIPLES OF AGRARIAN REFORM

1. To promote social justice
2. To move the nation toward sound rural development and industrialization
3. To establish owner-cultivatorship of economic sized farms as basis of Philippine agriculture

Agrarian, Land Reform

COVERAGE OF CARP

- All A&D lands of the public domain devoted to or suitable for agriculture
- All lands of the public domain in excess of the specific limits as determined by the Congress
- All other lands owned by the government devoted to or suitable for agriculture
- All public lands devoted to or suitable for agriculture regardless of the agricultural products raised or can be raised

Agrarian, Land Reform

RETENTION LIMITS

Five hectares for land owners

Three hectares to be awarded to each child of the landowner subject to the following qualification:

1. At least 15 years old
2. Actually tilling the soil or directly managing the farm

Agrarian, Land Reform

Republic Act 9700 : *CARP Extension with Reform Law* or otherwise known as CARPER Law, signed August 7, 2009 to extend the implementation of the CARP which ended upon the expiration of R.A. 6657 or the CARL on 2008.

Table 4. CARP's Performance per Administration

Share of Land Distribution	CARP Accomplishment/ Land distribution (in hectares)	Share of Land Distribution Output (in percent)	Years of Presidency	Annual Land Distribution (in hectares)
Corazon Aquino	885,518	49.97	6	141,419.7
Fidel Ramos	1,900,035	44.72	8	316,672.5
Joseph Estrada	222,907	5.75	2.5	89,162.8
Glenn Macapagal-Arroyo	954,406	22.46	8*	119,301
Benigno Aquino III	322,697	7.60	3	104,415.5
Total	4,248,546	100	25.5	166,610.39

Source: DAP Accomplishment Report, 1988-2011
*Glenn Macapagal Arroyo distributed 222,907 hectares from 2001-2008. During the last two years of his presidency, land distribution was hindered due to the uncertainty of the future of CARP and the expiration deadline in 2008.

Agrarian, Land Reform

THE STATE OF AGRARIAN REFORM UNDER PRESIDENT BENIGNO AQUINO III'S GOVERNMENT

Table 6. DAR LAD Balance vs. SARA-consulted LAD Areas (in hectares)

Regions	DAR LAD Balance as of Dec. 31, 2011 (in hectares)**	SARA-consulted Areas (in hectares)	SARA-consulted ARB-FBs (number of people)
Luzon (including Bicol)	287,930	59,912.91	13,567
Visayas	274,746	13,350.326	2,817*
Mindanao	399,701	38,943.45	2,058*
TOTAL	961,877	112,206.686	8,105*

* incomplete number
** Source: DAR Accomplishment Report, 2011

Cooperatives

Cooperatives – is an enterprise made up of members who provide specific types of services to the membership through the organization (Sicat, 1983)

A cooperative is a duly registered association of persons, with a common bond of interest, who have voluntarily joined together to achieve a lawful common social or economic end, making equitable contributions to the capital required and accepting a fair share of the risks and benefits of the undertaking in accordance with universally accepted cooperative principles.

RA 6938

Cooperatives

Universal Principles of Cooperativism

1. Open and Voluntary Membership
2. Democratic Control
3. Limited Interest on Capital
4. Division of Net Surplus
5. Continuing Membership Education
6. Cooperation among Cooperatives

Types of Cooperatives

- **Level of Cooperatives**
 1. Primary
 2. Secondary
 3. Tertiary
- **Services Rendered**
 1. Credit
 2. Consumer
 3. Producer
 4. Marketing Cooperative
 5. Service
 6. Multi-purpose
- **Scope of Membership**
 1. Institutional
 2. Associational
 3. Community-level

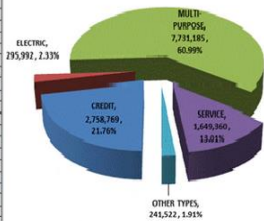
Cooperative Laws

1. Cooperative Code of the Philippines (RA 6938)
2. Cooperative Development Authority (RA 6939)

Cooperatives

TOTAL COOPERATIVE MEMBERSHIP, by Cooperative Type | As of December 31, 2013

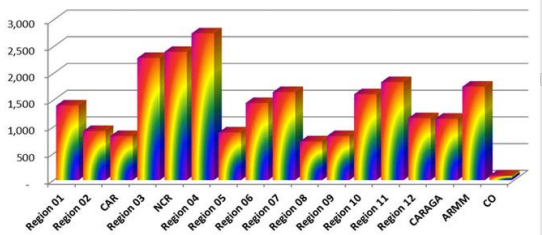
TYPE OF COOPERATIVE	TOTAL NO. OF REGISTERED COOPERATIVES	TOTAL MEMBERSHIP	AVERAGE MEMBERS PER COOPERATIVE
ADVOCACY	22	476	22
AGRICULTURAL REFORM	66	2,035	44
COOPERATIVE	1,366	98,685	74
CREDIT	2,509	2,758,789	102
DAIRY	28	778	28
EDUCATION	3	73	24
ELECTRIC	4	295,992	73,748
FINANCIAL SERVICE	3	115	38
FISHERIES	35	1,500	43
HEALTH SERVICES	2	85	43
HOUSING	20	616	31
MULTIPURPOSE	1,176	61,989	52
MULTIPURPOSE	14,722	7,731,185	525
PRODUCER	1,624	76,251	47
SERVICE	1,338	1,649,360	1,233
TRANSPORT	73	2,395	33
WATER	4	156	39
WORKERS	50	1,218	42
GRAND TOTAL	23,985	12,676,828	543



Source: CDA

Cooperatives

GRAPHICAL PRESENTATION OF THE TOTAL NUMBER OF REGISTERED COOPERATIVES, by Region, by Type | As of December 31, 2013



Source: CDA

Thank you very much!

The very best of luck!!

Break a leg!!!

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